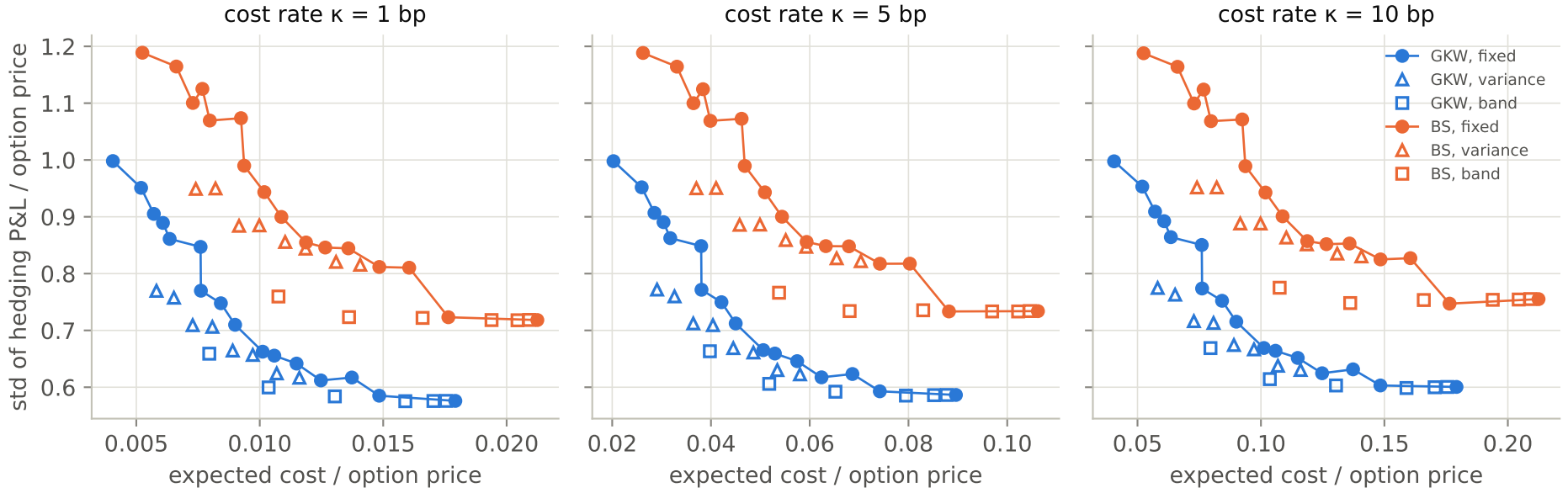
cost rate κ = 1 bp
cost rate κ = 5 bp
cost rate κ = 10 bp
std of hedging P&L / option price
1.2
1.1
1.0
0.9
0.8
0.7
0.6
0.005
0.010
0.015
0.020
0.02
0.04
0.06
0.08
0.10
0.05
0.10
0.15
0.20
expected cost / option price
GKW, fixed
GKW, variance
GKW, band
BS, fixed
BS, variance
BS, band